

4-7g Preparing the Financial Statements from the Spreadsheet

The spreadsheet can be used to prepare the income statement, the statement of stockholders' equity, and the balance sheet shown in [Exhibit 2](#). The income statement is normally prepared directly from the spreadsheet. The expenses are listed in the income statement in [Exhibit 2](#) in order of size, beginning with the larger items. Miscellaneous expense is the last item, regardless of its amount.

The statement of stockholders' equity is prepared by first listing the beginning-of-the-period balances of common stock and retained earnings. These beginning-of-the-period balances are taken from the ledger. Any additional common stock issued during the period and the net income for the period are then added to the beginning balances. A net loss would be subtracted from the beginning balance of retained earnings. Also, dividends are subtracted from the beginning balance of retained earnings. Finally, the columns are totaled to arrive at the end of the period balances for common stock and retained earnings.

The balance sheet can be prepared directly from the spreadsheet columns except for the ending balance of retained earnings. The ending balance of retained earnings is taken from the statement of stockholders' equity.

When a spreadsheet is used, the adjusting and closing entries are normally not journalized or posted until after the spreadsheet and financial statements have been prepared. The data for the adjusting entries are taken from the Adjustments columns of the spreadsheet. The data for the first closing entry are taken from the Income Statement columns of the spreadsheet. The amount for the second closing entry is the dividends account balance that appears in the Balance Sheet Debit column of the spreadsheet.